

at the end of the day, insurance companies are money managers. They collect premiums and pay claims. If the claim outgo is on the higher side, the premiums have to reflect that,” says Siddharth Singhal, head, health insurance at PolicyBazaar.

BEHAVIOUR CHANGE

Rising costs have changed the way people buy insurance. They are going for higher sum insured while also opting for specific add-ons like critical illness or cancer cover, say industry executives. They are also looking for family floater policies (where one policy covers many members of the family) and more comprehensive plans with benefits such as reinstatement/restoration of sum insured and domiciliary treatment.

46 | There is also a growing demand for policies that integrate OPD care, preventive health check-ups, and wellness programmes, reflecting a move towards proactive healthcare and long-term medical support rather than just hospitalisation coverage, says Saxena of Bajaj General Insurance.

Also, many companies offer plans that lower premiums if customers follow an active lifestyle. For instance, Aditya Birla Health Insurance's recent youth-focused plan rewards customers if they meet calorie burn targets and take consistent seven-eight hours of sleep. A customer can potentially get 100% annual premium back. “This cohort is among the most health-conscious consumers in the country. They track fitness and sleep. They spend on nutritionists, gym memberships, and wellness programmes. They follow evidence-based health content and integrate it into daily routines,” says Mayank Bathwal, the CEO of Aditya Birla Health Insurance.

“Young Indians are not avoid-

ENHANCING COVERAGE

➤ **Effective April 1, 2024, IRDAI removed the maximum entry age limit of 65 years for buying new health insurance policies**

➤ **Waiting period for pre-existing diseases was reduced from four years to three years**

➤ **Moratorium period (timeframe after which an insurance firm can't reject any claims for non-disclosure) reduced from eight years to five years**

➤ **IRDAI capped health premium hike for senior citizens at 10% per year**

➤ **The GST Council removed the 18% Goods and Services Tax on individual health insurance premiums**

➤ **The Union government expanded the Ayushman Bharat Pradhan Mantri Jan Arogya Yojana to provide free insurance coverage to all senior citizens above 70, irrespective of their income or socio-economic status**



ing health insurance because they cannot afford it. The intent is there. The gap is that no product has connected their daily health investment to their financial protection in a way that feels relevant to how they actually live. That misalignment is the gap we set out to address,” he says.

Another development is zone-based plans based on healthcare costs. Typically, larger metropolitan centres where costs are high are zone I, and smaller towns, where expenses are lower, are zone II or III.

“The latest products divide the country into eight zones depending on the premiums. So, if Delhi has the highest cost of hospitalisation, a policy bought by a person there will have a higher premium vis-à-vis a small town or a village. This enables insurance companies to charge the right premium to the